

A FREE GUIDE FOR BAY AREA EMPTY NESTERS

The House Got Quiet.

Stay, rightsize, or move closer to family? What to know before you decide, including how to take your low property tax with you.

PROP 19 • TAXES • TIMING • DOWNSIZING



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Start here

The kids are grown. The calendar is yours again. And the house you raised them in is a lot quieter than it used to be.

Maybe that feels like freedom. Maybe it feels like a question you keep putting off: is this still the right house for us?

By the end of this guide, you'll know your three real options, what each one costs, and which common worries are actually myths. Several of the biggest reasons people stay put, especially around property taxes, changed in 2021.

You don't have to decide anything today. Read what's useful, skip what isn't, and bring it to the kitchen table when you're ready.



My family has lived in Brentwood for over 15 years, and we raised our children here. I put this guide together so you can see your options clearly, before anyone asks you to decide anything.

Sonia

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Stay, rightsize, or relocate

There are really three paths here. None of them is the right one for everybody. The right one fits the next ten years of your life, not the last twenty.

Stay and adapt

A GOOD FIT IF

You love the neighborhood, your friends and doctors are close, and the house works (or can be made to work) as you get older.

THINK ABOUT

Stairs, yard, and upkeep ten years from now. The cost of a first-floor bedroom or walk-in shower. Whether an ADU could bring in rent or house family.

Rightsize nearby

A GOOD FIT IF

You want less house to take care of, but the same friends, doctors, and grocery store.

THINK ABOUT

Single-story homes are popular, and there aren't many. HOA dues and rules on townhomes and condos. Prop 19 (page 4) can keep your tax bill close to what you pay now.

Relocate

A GOOD FIT IF

The grandkids are a plane ride away, or you're ready for a lower cost of living somewhere new.

THINK ABOUT

Prop 19 only works inside California. Health care, airports, and how often you'll want to come back. Renting in the new area for a few months before you buy.

THE QUESTION UNDERNEATH ALL THREE

What does a normal Tuesday look like for you five years from now?

Where do you wake up? Who do you see? What do you spend your Saturday on? Start there, and the house question gets a lot easier.

“We'll lose our low property tax.”

This is the big one. Thanks to Prop 13, your property tax is based on what you paid years ago, plus small yearly increases. Plenty of people assume moving means starting over at today's prices.

What's actually true

Since April 1, 2021, Prop 19 has let homeowners 55 and older take their tax base with them to a new home. Anywhere in California. Up to three times.

In plain English: your low tax bill can move with you.

Who qualifies

- 1 You, or your spouse who lives with you, are 55 or older when you sell.
- 2 The home you sell and the home you buy are both your primary residence.
- 3 You buy or build the new home within two years before or after you sell the old one.
- 4 You file a claim (form BOE-19-B) with the assessor in the county where the new home is. It isn't automatic.

How much the new home can cost

When you buy the new home	Full transfer if it costs up to
Before you sell	100% of your sale price
Within 1 year after you sell	105% of your sale price
Within 2 years after you sell	110% of your sale price

Buying something more expensive? You can still use Prop 19. You keep your old tax base, and the difference in price is added to it. There's an example on the next page.

What Prop 19 looks like in real numbers

Say you bought your home in 1999. With Prop 13's small yearly increases, its assessed value today is about \$450,000, and your tax bill runs around \$5,000 a year.

You sell for \$1.4 million and buy a \$1.1 million single-story home nearby.

Your tax bill today	about \$5,000 a year
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New home, without Prop 19	about \$12,100 a year
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New home, with Prop 19	about \$5,000 a year
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What you keep	about \$7,100 a year
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Over ten years, that's roughly \$70,000 that stays with you instead of going to property tax.

If the new home costs more

Now say you buy first, and the new home costs \$1.6 million. That's \$200,000 more than your \$1.4 million sale price, so the \$200,000 is added to your \$450,000 base.

Your new assessed value	about \$650,000
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Tax with Prop 19	about \$7,150 a year
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Tax without it	about \$17,600 a year
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Tips that protect your savings

- **Order matters.** If you buy before you sell, the full transfer only works up to 100% of your sale price. Buy after you sell, and you have up to 110%.
- **File on time.** Filing within three years of buying gets your savings back to the purchase date.
- **Both homes must be your primary residence.** If you've been renting out the old one, check with the assessor first.
- **Read the source.** The state's Prop 19 page is at boe.ca.gov/prop19.

Illustration only, using a 1.1% tax rate. Your county's rate, local bonds, and special assessments will change the exact numbers.

“We'll keep it for the kids.”

It's a lovely idea: hold on to the house so your children inherit it with your low property tax. Prop 19 changed that too.

What's actually true

Since February 16, 2021, a child can keep your tax base only if all three of these are true:

- 1 The house was your primary residence.
- 2 Your child moves in and makes it their primary residence within one year.
- 3 The home's value is under a cap: your assessed value plus about \$1 million (the exact figure adjusts every two years). Above that, part of the home is reassessed.

If the kids rent it out, sell it, or already have homes they love, the house is reassessed at market value.

Back to our example: your \$5,000 tax bill on a \$1.4 million home would become about \$15,400 a year for your kids, unless one of them moves in.

The other side of the coin

There's a real reason some families hold on: the stepped-up basis. When children inherit a home, its tax basis usually resets to its value on the date of death. That can erase most of the capital gains tax if they sell soon after.

So keeping the house isn't wrong. It just works differently than it did before 2021, and it's worth a conversation with your estate planning attorney and CPA before you decide either way.

Questions to talk through as a family

- ☐ Does one of our kids actually want to live in this house?
- ☐ Is the house in a living trust, and is the trust up to date?
- ☐ If one of us passes first, what happens to the house and the taxes?

“Capital gains will eat us alive.”

Long-time owners often have a big gain on paper. The good news: a big chunk of it can be tax-free, and your real gain may be smaller than you think.

The home sale exclusion

If you've owned the home and lived in it for at least two of the last five years, you can exclude up to \$250,000 of profit from tax, or \$500,000 if you're married and file jointly. California follows the same rule.

How the math works

Sale price	\$1,400,000
Selling costs (estimate)	– \$84,000
What you paid in 1999	– \$350,000
Improvements over the years	– \$120,000
Your gain	\$846,000
Exclusion (married, filing jointly)	– \$500,000
Amount that may be taxed	\$346,000

What can shrink your gain

- **Improvements count.** Remodels, a new roof, windows, solar, and additions add to your basis. Routine repairs don't. Start gathering receipts now.
- **If your spouse has passed.** In California, a home held as community property can get a full step-up in basis when the first spouse dies. That can shrink the gain a lot.
- **Surviving spouses** can still use the \$500,000 exclusion if they sell within two years of their spouse's death and haven't remarried.

California taxes capital gains as regular income. Tax rules change, so confirm the current numbers with your CPA before you list.

“We can't buy until we sell.”

When most of your savings is tied up in the house, it can feel like you have to sell first and scramble. You have more options than that.

Option	How it works	Keep in mind
HELOC on your current home	A home equity line of credit you open before you list. Use it for the next down payment.	It has to be in place before you list. You may carry two payments for a while.
Bridge loan	A short-term loan against the equity in your current home.	Usually higher rates and fees than a regular mortgage.
Offer with a sale contingency	Your purchase depends on your home selling first.	Less appealing to sellers when homes are getting multiple offers.
Sell, then rent back	You close the sale and stay on as a renter for an agreed time.	Usually short, often 60 days or less. Start looking early.
Sell, then rent for a while	Move into a rental while you shop without a deadline.	Two moves, but no pressure to buy fast.

PROP 19 TIMING TIP

If you buy first, the full tax transfer only works if the new home costs no more than your sale price. Buy within two years after you sell, and you have up to 110%. Plan the order with your lender and your agent before you make the first move.

Not sure which option fits? A good local lender can tell you in one conversation what you qualify for. I'm happy to connect you with one.

“We have too much stuff to move.”

Twenty or thirty years in one house adds up. The trick is to start early, start small, and start with the rooms that don't make you cry.

6 MONTHS OUT

- Start with low-emotion spaces: the garage, the linen closet, the guest room.
- Sort into four piles: keep, family, donate or sell, and toss.
- Give the kids a “claim it by” date for their things. After that, it goes.

3 MONTHS OUT

- Measure the furniture you love, and decide what fits a smaller home.
- Photograph keepsakes you can't keep, so the memory stays even when the object goes.
- Book an estate sale company, consignment shop, or donation pickup.

1 MONTH OUT

- Shred old paperwork, but keep what your CPA needs, including improvement receipts.
- Set up mail forwarding and transfer your utilities.
- Confirm the movers and pack a first-night box.

A FEW THINGS THAT HELP

- **Photos and letters go last.** They're the slowest to sort, so don't let them stall everything else.
- **One drawer a day** beats one dreaded weekend.
- **You can hire help.** Senior move managers plan and run the whole move. Find one at nasmm.org.
- **Don't over-fix before you sell.** Before you repaint every room, ask for a walk-through. Some updates pay you back. Many don't.

What the next home could look like

“Downsizing” doesn't have to mean a tiny condo. Here's what people in your shoes usually weigh.

Single-story home

No stairs, easier to live in at any age.

Everyone wants one, so there usually aren't many for sale. Be ready to move when the right one comes up.

Townhome or condo

Someone else handles the roof and the landscaping. Read the HOA budget, reserves, and rules before you commit.

55+ community

Clubhouses, classes, and neighbors in the same season of life. Brentwood and the Central Valley have several. Check the HOA dues and what they cover.

Closer to the grandkids

Outside California, your tax base doesn't transfer, but prices and taxes may be lower. Consider renting there for a few months first.

An ADU on your lot

Build a small home in the backyard and live in it. Rent out the main house, or let family move in. California has made ADUs much easier to permit.

Stay and update

A first-floor bedroom, a walk-in shower, better lighting, and grab bars can add years to a house. Get quotes before you decide it's cheaper than moving.

Questions to ask about any next home

- ☐ How far is it to our doctors, and to the airport?
- ☐ Is there a bedroom and full bathroom on the main floor?
- ☐ What will it cost each month beyond the mortgage (HOA, taxes, insurance)?
- ☐ Could we still live here comfortably at 85?

The kitchen-table worksheet

Grab a pen and a cup of coffee. If there are two of you, answer on your own first, then compare notes.

1. What does a normal Tuesday look like for us in five years?

2. Which rooms did we actually use this month?

3. Who do we most want to be near, and how often do we want to see them?

4. Will the stairs, yard, and upkeep be easier or harder in ten years?

5. What would we do with the money this house is holding?

6. What would we miss most? What wouldn't we miss at all?

Score each path from 1 (poor) to 5 (great)

WHAT MATTERS	STAY	RIGHTSIZE	RELOCATE
Monthly cost to live there			
Stairs, yard, and upkeep			
Close to family			
Close to friends and community			
Doctors and health care nearby			
Money freed up			
Total			

What your house is holding

Rough numbers are enough to start. Fill in what you know, and leave the rest blank for now.

YOUR EQUITY

Estimated sale price	\$
Minus what you still owe on the mortgage	\$
Minus selling costs (ask for an estimate)	\$
What you'd walk away with, before taxes	\$

WHAT IT COSTS TO STAY, PER YEAR

Property tax	\$
Homeowners insurance	\$
Utilities	\$
Repairs and maintenance	\$
Gardener, pool, or other help	\$
Total	\$

YOUR NEXT HOME

Target price	\$
Property tax with Prop 19 (see page 5)	\$
HOA and other monthly costs, times 12	\$
Money left over after the move	\$

Want help with the first line? I'll put together a **free home value estimate** for you. No pressure, no obligation. Call or text **925-354-5756**.

Your team and next steps

Your Realtor	Pricing, prep, and timing the sale and the purchase, including Prop 19 timing.
CPA or tax advisor	Your real gain, the exclusion, your basis, and which records to keep.
Estate planning attorney	Your trust, what the kids inherit, and how the house fits your plan.
Lender	A HELOC, bridge loan, or new mortgage.
County assessor	Your Prop 19 claim (form BOE-19-B).
Move manager	Sorting, packing, and the move itself.

Your next five steps

- 1 Fill out the kitchen-table worksheet.
- 2 Get a home value estimate so your numbers are real.
- 3 Ask your CPA about your gain and your basis.
- 4 Talk to a lender about buying before you sell.
- 5 Pick your path, then your timeline.



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Helpful links: Prop 19: boe.ca.gov/prop19 · Selling your home (IRS Pub. 523): irs.gov/publications/p523 · Move managers: nasmm.org

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